that contains a mix of products, with some parts of the package being subject to a trade execution requirement and some not.

Paragraph (b) of Proposed Rule 803 is closely modeled on § 37.3(b) and would set out procedures for full registration of an SBSEF. Paragraph (b)(1), like § 37.3(b)(1), would provide that an applicant requesting registration must file electronically a complete Form SBSEF or any successor forms, and all information and documentation described in such forms with the Commission using the Electronic Data Gathering, Analysis, and Retrieval ("EDGAR") system as an Interactive Data File in accordance with Rule 405 of Regulation S-T, and must provide to the Commission, upon the Commission's request, any additional information and documentation necessary to review an application.

Paragraph (b)(2) of Proposed Rule 803, like § 37.3(b)(2), would provide that an applicant requesting registration as an SBSEF must identify with particularity any information in the application that will be subject to a request for confidential treatment pursuant to Rule 24b-2 under the SEA.[51] Paragraph (b)(2) would also provide that, as set forth in Rule 808, certain information provided in an application shall be made publicly available.

Paragraph (b)(3) of Proposed Rule 803 would address amendments to the SBSEF registration application. Like § 37.3(b)(3), Rule 803(b)(3) would provide that an applicant amending a pending application or requesting an amendment to an order of registration shall file an amended application electronically with the Commission using the EDGAR system as an Interactive Data File in accordance with Rule 405 of Regulation S-T. Subsequent to being

---

[51] *See* 17 CFR 240.24b-2 (setting forth the procedures for identifying and redacting the portion of a submission under the SEA for which confidential treatment is requested). As the Commission stated in the Proposing Release, it is not necessary or appropriate to establish and utilize one set of procedures to handle confidential treatment requests made by SBSEFs while utilizing a different set of procedures for other persons who request confidential treatment from the Commission under the SEA. *See* Proposing Release, *supra* note 1, 87 FR at 28880 n.50.

registered, an SBSEF would be required to submit rule and product filings under Rule 806 or Rule 807, as well as provide other updates as may be required pursuant to other rules for SBSEFs.

Paragraph (b)(4) of Proposed Rule 803 would address the effect of an incomplete application. Like § 37.3(b)(4), Proposed Rule 803(b)(4) would provide that, if an application is incomplete, the Commission shall notify the applicant that its application will not be deemed to have been submitted for purposes of the Commission's review.

Paragraph (b)(5) of Proposed Rule 803 would establish the Commission review period for an application to register as an SBSEF. Proposed Rule 803(b)(5) is closely modeled on § 37.3(b)(5) and would require the Commission to approve or deny an application for registration as an SBSEF within 180 days of the filing of the application. Proposed Rule 803(b)(5) would further provide that, if the Commission notifies the person that its application is materially incomplete and specifies the deficiencies in the application, the running of the 180-day period would be stayed from the time of that notification until the application is resubmitted in completed form. In such a case, the Commission would have not less than 60 days to approve or deny the application from the time the application is resubmitted in completed form.

Paragraph (b)(6)(i) of Proposed Rule 803, like § 37.3(b)(6)(i), would provide that the Commission shall issue an order granting registration upon a Commission determination, in its discretion, that the applicant has demonstrated compliance with the SEA and the Commission's rules applicable to SBSEFs. Paragraph (b)(6)(i) would allow the Commission to issue an order granting registration, subject to conditions. Paragraph (b)(6)(ii) of Proposed Rule 803, modeled on § 37.3(b)(6)(ii), would provide that the Commission may issue an order denying registration upon a Commission determination, in its own discretion, that the applicant has not demonstrated

compliance with the SEA and the Commission's rules applicable to SBSEFs. If the Commission denies an application under Rule 803(b)(6)(ii), it would be required to specify the grounds for the denial.

Paragraph (c) of Proposed Rule 803, like § 37.3(d), would address reinstatement of a dormant registration. Proposed Rule 803(c) would provide that a dormant SBSEF[52] may reinstate its registration under the procedures of Rule 803(b). Proposed Rule 803(c) would further provide that the applicant may rely upon previously submitted materials if such materials accurately describe the dormant SBSEF's conditions at the time that it applies for reinstatement of its registration.

Paragraph (d) of Proposed Rule 803, like § 37.3(e), would set out procedures for an SBSEF to request a transfer of registration. Paragraph (d)(1), which is closely modeled on § 37.3(e)(1), would provide that an SBSEF seeking to transfer its registration from its current legal entity to a new legal entity as a result of a corporate change shall file a request for approval to transfer such registration with the Commission in the form and manner specified by the Commission. Paragraph (d)(2), modeled on § 37.3(e)(2), would provide that a request for transfer of registration shall be filed no later than three months prior to the anticipated corporate change; or in the event that the SBSEF could not have known of the anticipated change three months prior to the anticipated change, as soon as it knows of that change.

Paragraph (d)(3) of Proposed Rule 803, like § 37.3(e)(3), would require an SBSEF's request for a transfer of registration to include the underlying agreement governing the corporate

---

[52] *See* Proposed Rule 802 (defining "dormant security-based swap execution facility" to mean "a security-based swap execution facility on which no trading has occurred for the previous 12 consecutive calendar months; provided, however, that no security-based swap execution facility shall be considered to be a dormant security-based swap execution facility if its initial and original Commission order of registration was issued within the preceding 36 consecutive calendar months"). This definition is modeled on the definition of "dormant swap execution facility" found in § 40.1(f).

change, a description of the corporate change, a discussion of the transferee's ability to comply with the SEA, the governing documents of the transferee, the transferee's rules marked to show changes from the rules of the SBSEF, and specified representations by the transferee.[53]

Paragraph (d)(4) of Proposed Rule 803, modeled on § 37.3(e)(4), would provide that, upon review of a request for transfer of registration, the Commission, as soon as practicable, shall issue an order either approving or denying the request.

Paragraph (e) of Proposed Rule 803, like § 37.3(f), would provide that an applicant for registration as an SBSEF may withdraw its application by filing a withdrawal request electronically with the Commission using the EDGAR system as an Interactive Data File in accordance with Rule 405 of Regulation S-T.[54] Proposed Rule 803(e) would further provide that withdrawal of an application for registration shall not affect any action taken or to be taken by the Commission based upon actions, activities, or events occurring during the time that the application was pending with the Commission.

Paragraph (f) of Proposed Rule 803, like § 37.3(g), would provide that an SBSEF may request that its registration be vacated by filing a vacation request electronically with the Commission using the EDGAR system and must be provided as an Interactive Data File in accordance with Rule 405 of Regulation S-T at least 90 days prior to the date that the vacation is requested to take effect.

---

[53] *See* Proposing Release, *supra* note 1, 87 FR at 28880–81.

[54] 17 CFR 232.405. The proposed electronic filing requirement discussed above does not appear in the CFTC version of this provision. The Commission is adding this specification to implement the Inline XBRL and EDGAR electronic filing requirements for certain documents required by Regulation SE. *See infra* section XIII.A.

2. Comments and Analysis

(a) Registration Requirements, Generally

Two commenters support the proposed SBSEF registration requirements under Rule 803 being modeled on the CFTC's rules and state that, as market participants are familiar with CFTC's requirements, they appreciate the Commission's attempts to minimize registration burdens and expedite the establishment of the SBSEF regime.[55]

One commenter states that the Commission should ensure that all multilateral trading venues for SBS are required to register as an SBSEF, regardless of the specific trading protocol used.[56] Another commenter argues that section 3D(a)(1) of the SEA requires the registration of *any* "facility for the trading or processing of SBS," not just those that meet the statutory definition of SBSEF, which includes multiple-to-multiple trading.[57] Accordingly, this commenter states that single-dealer platforms should be required to register as SBSEFs and to change their operations to offer multiple-to-multiple trading, consistent with the definition of SBSEF.[58]

One commenter asks the Commission to "make clear that the SBSEF registration requirement applies only to these types of platforms that are within the statutory and proposed regulatory definition and does not include any broader CFTC staff interpretations purporting to

---

55 *See* SIFMA AMG Letter, *supra* note 18, at 5; *see also* Bloomberg Letter, *supra* note 18, at 11.

56 *See* Citadel Letter, *supra* note 18, at 9 ("[A] security-based swap transaction executed via a fully electronic multilateral RFQ protocol should be subject to the same regulations as one executed by voice with the assistance of a voice broker (who may or may not be employed by the SBSEF)").

57 As discussed above, *see supra* note 38 and accompanying text, the statutory definition of SBSEF provides in relevant part that an SBSEF is "a trading system platform in which *multiple participants* have the ability to execute or trade security-based swaps by accepting bids and offers made by *multiple participants*…." SEA section 3(a)(77), 15 U.S.C. 78c(a)(77) (emphasis added). This is sometimes referred to as "multiple-to-multiple trading."

58 *See* Better Markets Letter, *supra* note 18, at 11–13.

expand the SEF definition."[59] This commenter states that CFTC Staff Letter 21-19[60] maintains that platforms can be required to register as SEFs "(i) even where multiple participants cannot *simultaneously* request, make, or accept bids and offers from market participants; or (ii) where multiple participants can initiate a one-to-many communication."[61] The commenter states that extending the definition of SBSEF to include "facilities offering one-to-many or bilateral communications if more than one participant is able to submit an RFQ on the platform" would "contradict Congress' express intent" to limit the scope of SBSEF registration requirements to multiple-to-multiple platforms; that the Commission should make clear that the CFTC staff guidance is inapplicable to SBSEFs; and that the Commission should confirm that it is not adopting or incorporating, explicitly or implicitly, similar guidance.[62]

The Commission agrees with the comment that the definition of SBSEF applies to multilateral trading facilities regardless of the specific trading protocol used. As the statutory definition of SBSEF makes clear, a trading facility would fall under the definition of SBSEF if it offers "multiple participants the ability to execute or trade security-based swaps by accepting bids and offers made by multiple participants in the facility or system, *through any means of interstate commerce*…."[63] Whether a specific instance or practice of brokering in fact offers multiple participants the ability to accept the bids or offers made by multiple participants, though, will depend on the attendant facts and circumstances of that instance or practice. The

---

59 *See* MFA Letter, *supra* note 18, at 3.

60 *See* CFTC Staff Advisory on Swap Execution Facility Registration Requirement, Letter No. 21-19 (Sept. 29, 2021), *available at* https://www.cftc.gov/node/238336.

61 *See* MFA Letter, *supra* note 18, at 3 (quoting CFTC Staff Letter No. 21-19, *supra* note 60 (emphasis in original)).

62 MFA Letter, *supra* note 18, at 3–4 (internal quotations omitted).

63 SEA section 3(a)(77), 15 U.S.C. 78c(a)(77) (emphasis added).

Commission does not, however, agree with the comment that the language of SEA section 3D(a)(1) means that single-dealer platforms for trading SBS must register as SBSEFs and, consistent with the statutory definition of SBSEF, change their operations to provide multiple-to-multiple trading. SEA section 3D is titled "Security-based swap execution facilities," and section 3D(a)(1) states, in full, "No person may operate a facility for the trading or processing of security-based swaps, unless the facility is registered as a security-based swap execution facility or as a national securities exchange under this section."[64] The Commission is not persuaded that the phrase "facility for the trading or processing of security-based swaps" in this context can reasonably be read to apply more broadly to encompass anything *other than* an SBSEF or an SBS exchange. Since the definitions of both SBSEF and exchange include the concept of multiple-to-multiple trading,[65] single-dealer "one-to-many" trading platforms that do not offer multiple-to-multiple trading are outside the scope of the provisions of section 3D(a)(1).

It is not necessary to incorporate the guidance in CFTC Staff Letter 21-19 into this release, because the CFTC staff letter in large part refers to fact-specific circumstances that the Commission has yet to encounter since Reg SE is not yet effective and the application of the SBSEF definition depends on the particular facts and circumstances of a platform's structure and operations. For the same reason, it would be premature to reject the possibility of taking a position similar to that of the CFTC guidance with regard to SBSEFs, as one commenter

---

64 SEA section 3D(a)(1), 15 U.S.C. 78c-4(a)(1).

65 *See* SEA section 3(a)(77), 15 U.S.C. 78c(a)(77) (defining SBSEF in relevant part as "a trading system or platform in which multiple participants have the ability to execute or trade security-based swaps by accepting bids and offers made by multiple participants in the facility or system…"); SEA section 3(a)(1), 15 U.S.C. 78c(a)(1) (defining an exchange in relevant part as "any organization, association, or group of persons, whether incorporated or unincorporated, which constitutes, maintains, or provides a market place or facilities for *bringing together purchasers and sellers* of securities") (emphasis added).

suggested.[66] Moreover, because the statutory definition of SBSEF does not include the word "simultaneous," the Commission declines to issue its own guidance to reflect a requirement for simultaneity here. Where operators of SBS trading platforms have questions about the facts and circumstances particular to their situations, they can discuss their particular circumstances with Commission staff.

(b) Abbreviated Registration Procedures for CFTC-Registered SEFs

Several commenters state that the Commission should use its exemptive authority to provide a streamlined registration process for SBSEFs that are already registered with the CFTC as SEFs.[67] One commenter states that, because many entities will likely be registering with both the Commission and the CFTC, a streamlined SBSEF registration process will ease the burden of new requirements imposed on potential dual-registrants.[68] This commenter further states that allowing currently registered CFTC SEFs to become SEC-registered SBSEFs would be more efficient and would more quickly kick-start the Commission's SBS regime. This commenter thus supports the use of exemptive authority for SEFs that are currently registered, provided that the Commission's approach to exemptive authority does not disrupt the existing market structure and the relationships between venues and participants. Another commenter states that a streamlined registration process for SEFs currently registered and in good standing with the CFTC would have the potential to lower the costs of registration and encourage the entry of market participants.[69]

---

66 *See supra* notes 59–62 and accompanying text.

67 *See* SIFMA AMG Letter, *supra* note 18, at 5; Bloomberg Letter, *supra* note 18, at 11; WMBAA Letter, *supra* note 18, at 3; ICE Letter, *supra* note 18, at 5.

68 *See* SIFMA AMG Letter, *supra* note 18, at 5.

69 *See* Bloomberg Letter, *supra* note 18, at 11.

One commenter that supports a streamlined SBSEF registration process for SEFs states that a prolonged registration process, particularly for venues already registered with the CFTC, only further delays the introduction of regulated price discovery, liquidity formation, and trade execution for SBS.[70] This commenter also states that SBSEF registration also further expedites SBS data reporting to the extent SBSEFs will report trades to an SBS swap data repository under the Commission's Regulation SBSR, as this service cannot be provided until SBSEFs are registered and operational. If the Commission were not to retain the exemptive authority within Rule 803, this commenter supports a process that gives deference to existing CFTC SEFs and provides a more streamlined process for such registrants. The commenter states that, as the Commission observed in the proposing release, most of the SBS liquidity will likely be centralized around a few facilities, with most (if not all) of them already operating CFTC-regulated SEFs.[71]

Another commenter states that SEFs that are currently registered and in good standing with the CFTC should be permitted to register with the Commission utilizing their current documentation filed pursuant to the requirements of Form SEF.[72] This commenter states that CFTC registered SEFs are required to keep their Form SEF and its exhibits current through post-registration amendments and that, as the Commission is modeling proposed Form SBSEF on the CFTC's Form SEF, substituting the forms should not be problematic for the Commission to review. The commenter states that the Commission should permit registered SEFs seeking to register as an SBSEF to submit their Form SEF and exhibits, with an accompanying addendum

---

70 *See* WMBAA Letter, *supra* note 18, at 3.

71 *See* WMBAA Letter, *supra* note 18, at 3–4.

72 *See* ICE Letter, *supra* note 18, at 5.

reflecting only those changes necessary to fulfill the specific requirements of proposed Regulation SE, in lieu of filing a new Form SBSEF.

One commenter, however, stated that "relaxing or eliminating any registration requirements would be highly inappropriate," and argued that the Commission must be "rigorous in reviewing and approving SBSEFs applicants while upholding complete impartiality."[73] This commenter further states that both active SEFs and non-SEFs seeking to register SBSEFs "must be held under the same standard to avoid any conflict of interests."[74] Therefore, this commenter states that the Commission should not use exemptive authority under SEA section 36(a)(1) to adopt an abbreviated procedure for SEFs seeking to register as SBSEFs, because doing so would rely on the "CFTC's biased judgment" and would not permit an "unprejudiced determination" by the Commission.[75]

In the Proposing Release, the Commission stated that it was considering that, after adopting final rules establishing a registration process for SBSEFs, it could exercise its exemptive authority under section 36(a)(1) of the SEA[76] to relax or eliminate entirely certain of the registration requirements for entities that are already registered as SEFs with the CFTC.[77] The Commission recognizes that many of the entities that will seek registration with the Commission as SBSEFs are already registered with the CFTC as SEFs. Entities that seek dual registration presumably see efficiencies in utilizing the same systems, policies, and procedures to trade both swaps and SBS. As noted throughout this release, the Commission has sought to

---

[73] Letter from J. T. at 1 (May 26, 2022).

[74] *Id.*

[75] *Id.*

[76] 15 U.S.C. 78mm(a)(1).

[77] *See* Proposing Release, *supra* note 1, 87 FR at 28882.